Wharton
University of Pennsylvania

Global Strategy: Class #2
The Institutional Environment in Global Markets
Corruption in International Business

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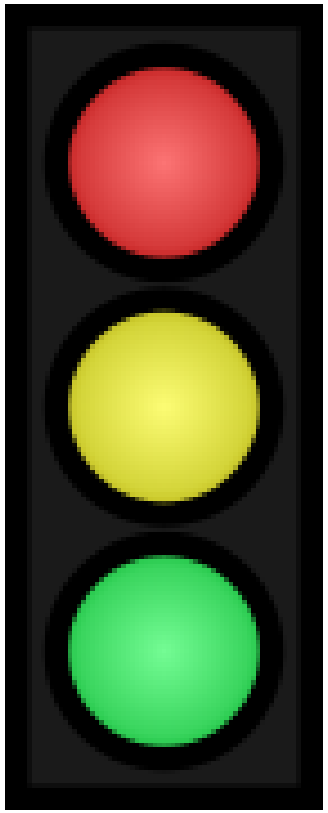
Last Class

- Should we go abroad? **ADDING Value Framework**
  - How much value is added: Volume, Margin (WTS, Cost, WTP, Industry attractivity), Uncertainty/Risk, and Knowledge/Resources
- Where should we go? **CAGE Framework**
  - Differences (not levels) that are relevant to the industry in analysis
  - Not “bad” or “good” markets; rather “close” or “far”
- Fundamental aspect of global strategy is learning how to manage differences in order to build long-term sustainable advantage

TODAY

- What are some of the uncertainties/risks of going abroad? **CIA (Comparative Institutional Analysis) Framework.**
  - *Navigating institutional differences and dealing with corruption*

What We Are Trying to Solve in the Global Module

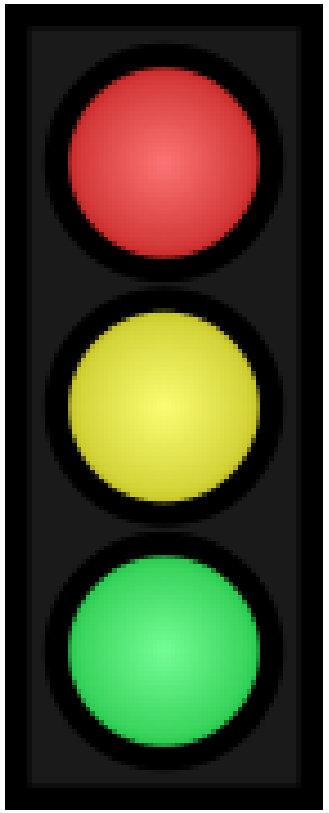


***Should* we go abroad?**

***Where* should we go?**

***How* should we go?**

What We Are Trying to Solve in the Global Module



***Should* we go abroad?**	• **ADDING Value** • **CIA:** Comparative Institutional Analysis	**- Ferrero Group** **- Corruption in International Business**
***Where* should we go?**	• **CAGE:** Culture, Administrative, Geographic, and Economic • **AAA:** Adaptation, Aggregation, and Arbitrage	**- European Super League** **- Apple** **- Zara**
***How* should we go?**	• **TCE:** Transaction Cost Economics • **SM:** Stakeholders Management	**- Walmart** **- McDonald's** **- Tata Group** **- Natura**

Why do nations fail?

Conventional Explanations



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Why do nations fail?

Conventional Explanations

- Culture
- Geography
- Leader Enlightenment



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Source: Wikimedia Commons https://commons.wikimedia.org/wiki/File:Korean_Peninsula_at_night_from_space.jpg



Source: https://america.cgtn.com/2018/08/26/battle-of-ambos-nogales-led-to-the-first-fence-separating-mexico-and-us

What are institutions?
How do they affect economic performance?
How are they created?

North (1991). "Institutions."
Journal of Economic Perspectives.
5(1): 97-112



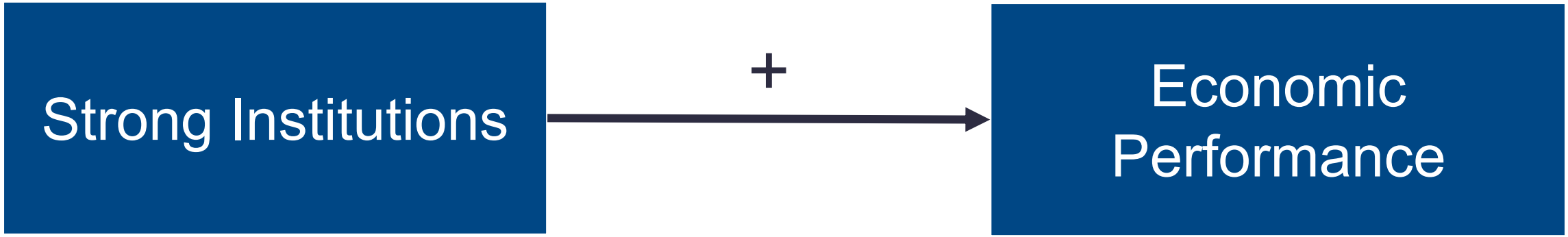

Douglass North

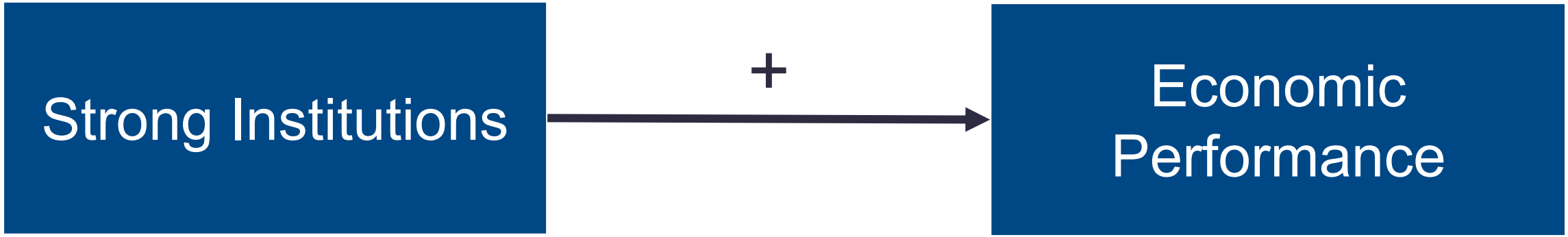
The “Rules of the Game”

*“Institutions are the **humanly devised constraints** that structure political, economic, and social interaction.”*

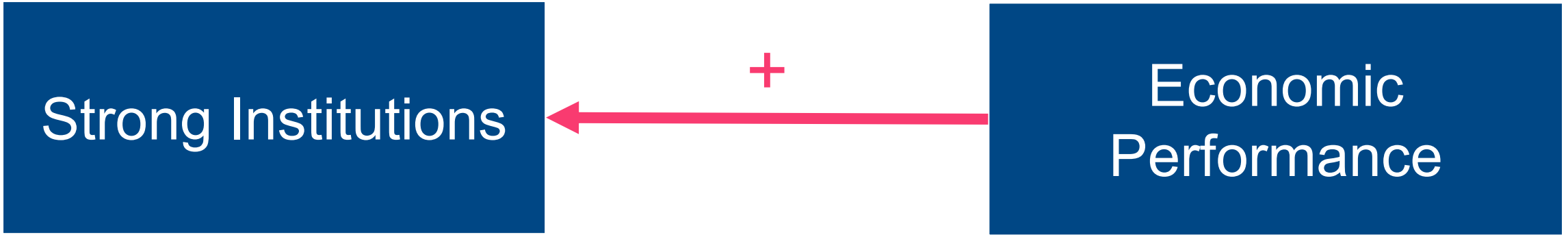
*“They consist of **both informal constraints** (sanctions, taboos, customs, traditions, and codes of conduct) **and formal rules** (constitutions, laws, property rights)”*

(North, 1991: 97-98)

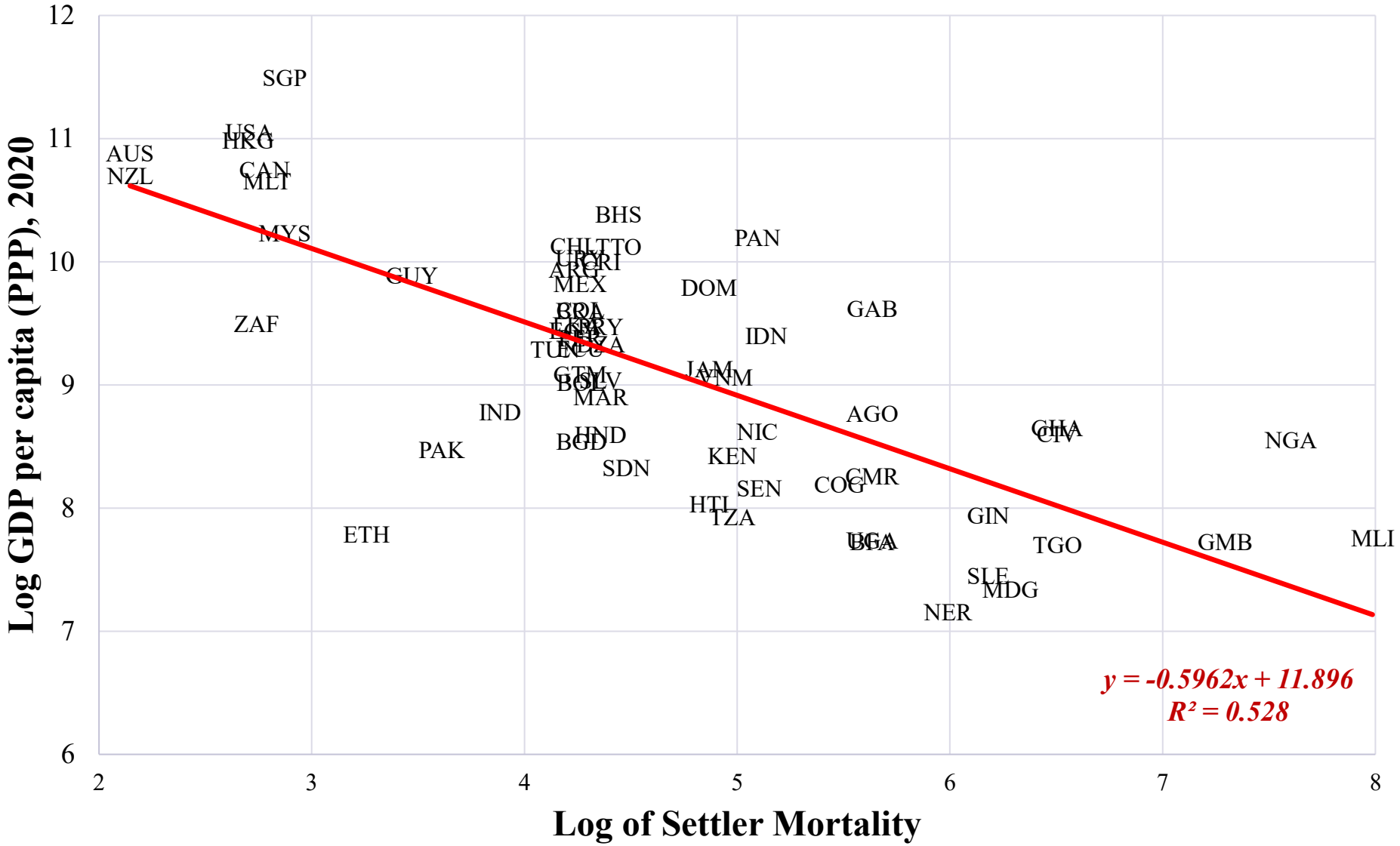

Strong Institutions
+
Economic Performance



How about reverse causality?

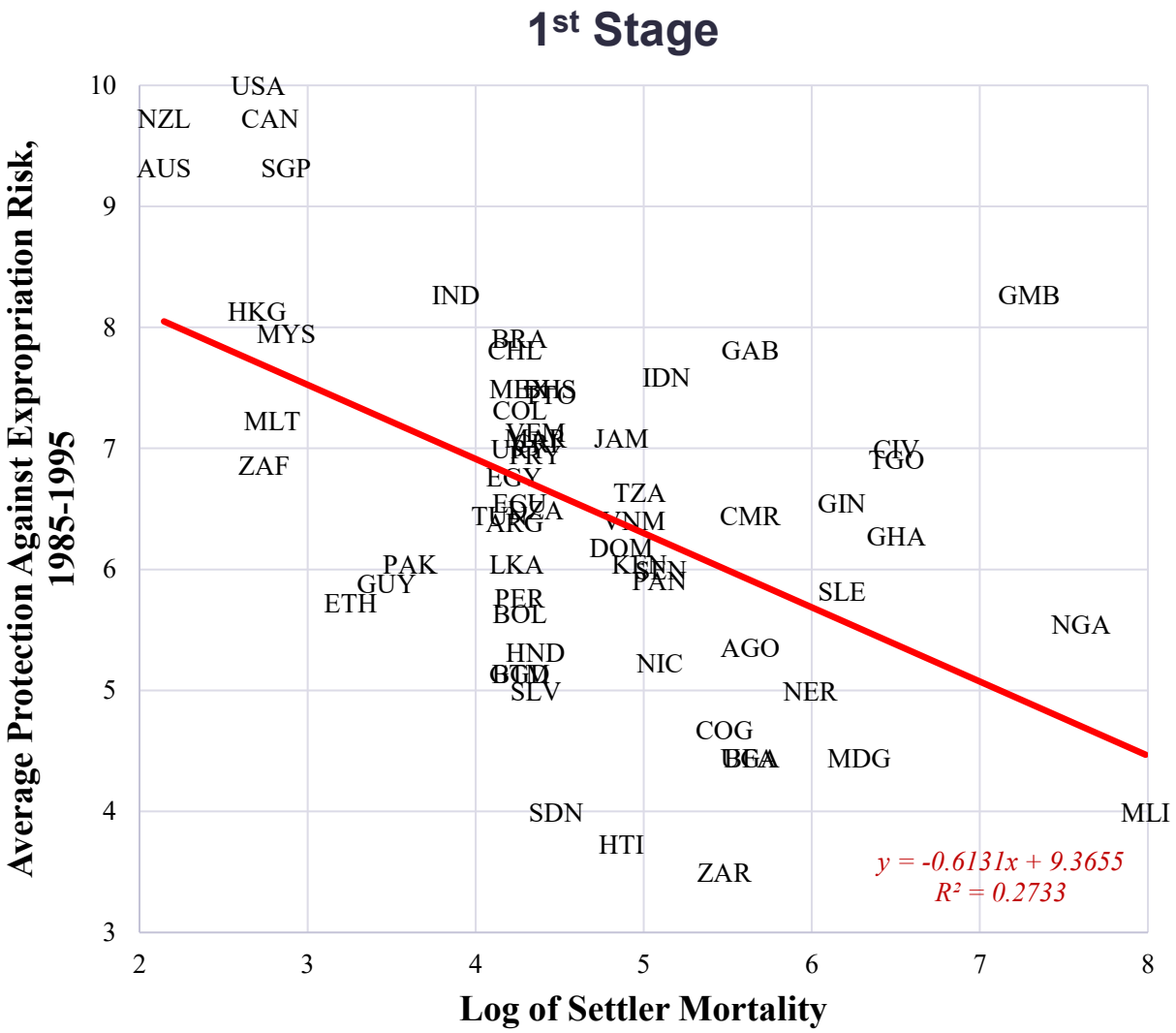


What is going on here? Why?



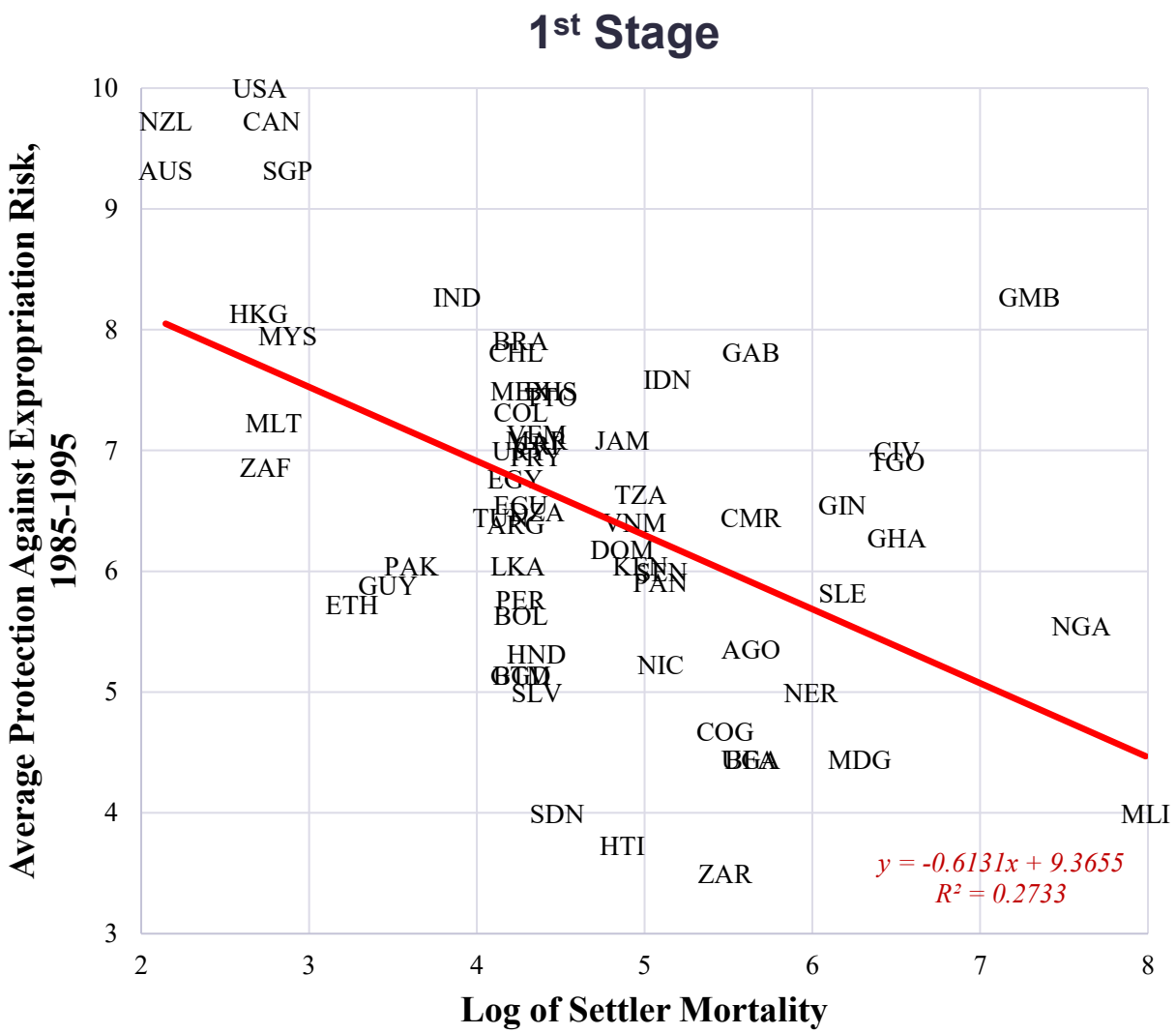
Source: based on Acemoglu et al. (2001)

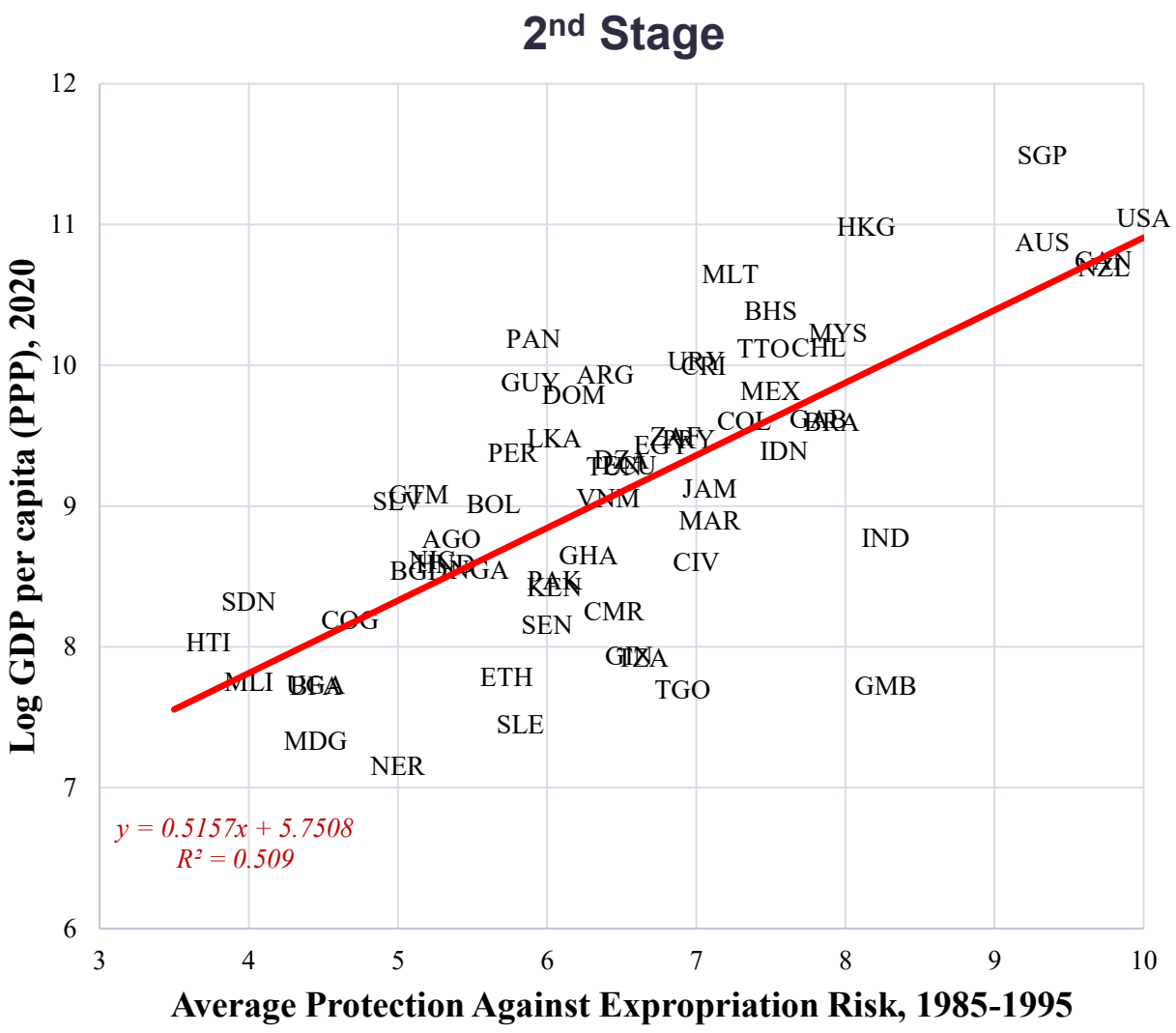
What is going on here? Why?



Source: based on Acemoglu et al. (2001)

What is going on here? Why?





Source: based on Acemoglu et al. (2001)



https://www.youtube.com/watch?v=2z5RAZlv2UQ&t=1s

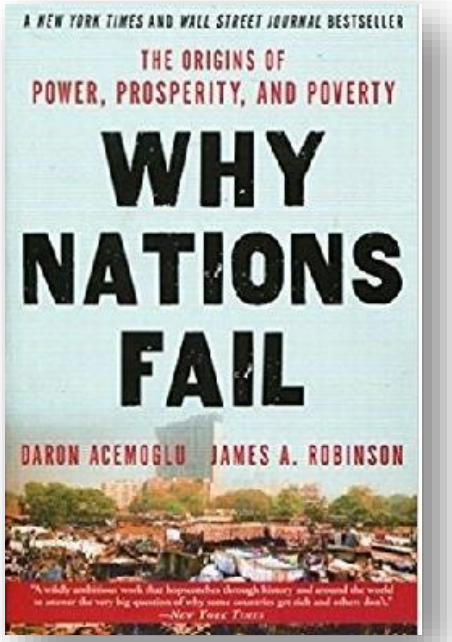
Why Nations Fail

Extractive Institutions

- Concentrated political and economic powers
- Reinforce the enrichment of powerful local elites

Inclusive Institutions

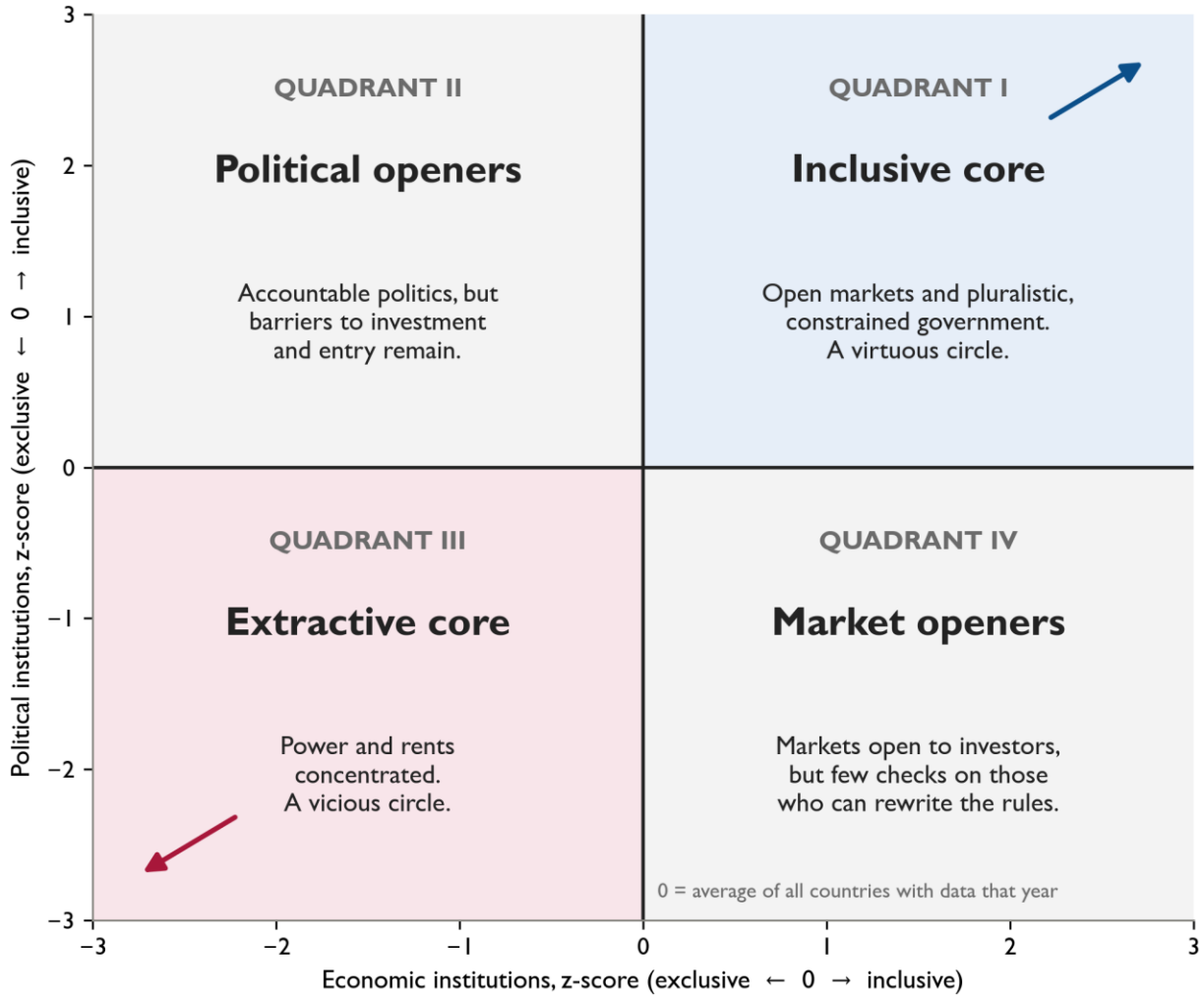
- Political and economic systems that are pluralistic and benefit the whole community
- Government integrity
- Protects individual rights and property rights
- Create conditions to reward entrepreneurship and innovation,
- Foster competitive markets.



		Economic Institutions	
		Extractive	Inclusive
Political Institutions	Inclusive		VIRTUOUS CIRCLE
	Extractive	VICIOUS CIRCLE	

Source: Acemoglu and Robinson (2012)

The CIA Map: Four Institutional Environments



Source: Pongeluppe (2026), CIA Framework, building on the inclusive and extractive institutions of Acemoglu and Robinson (2012) and on Dahl (2008). Positions are z-scores: 0 is the average country that year.

Comparative Institutional Analysis (CIA) Framework

Cross-country comparison

- Relative position of countries in institutional dimensions.

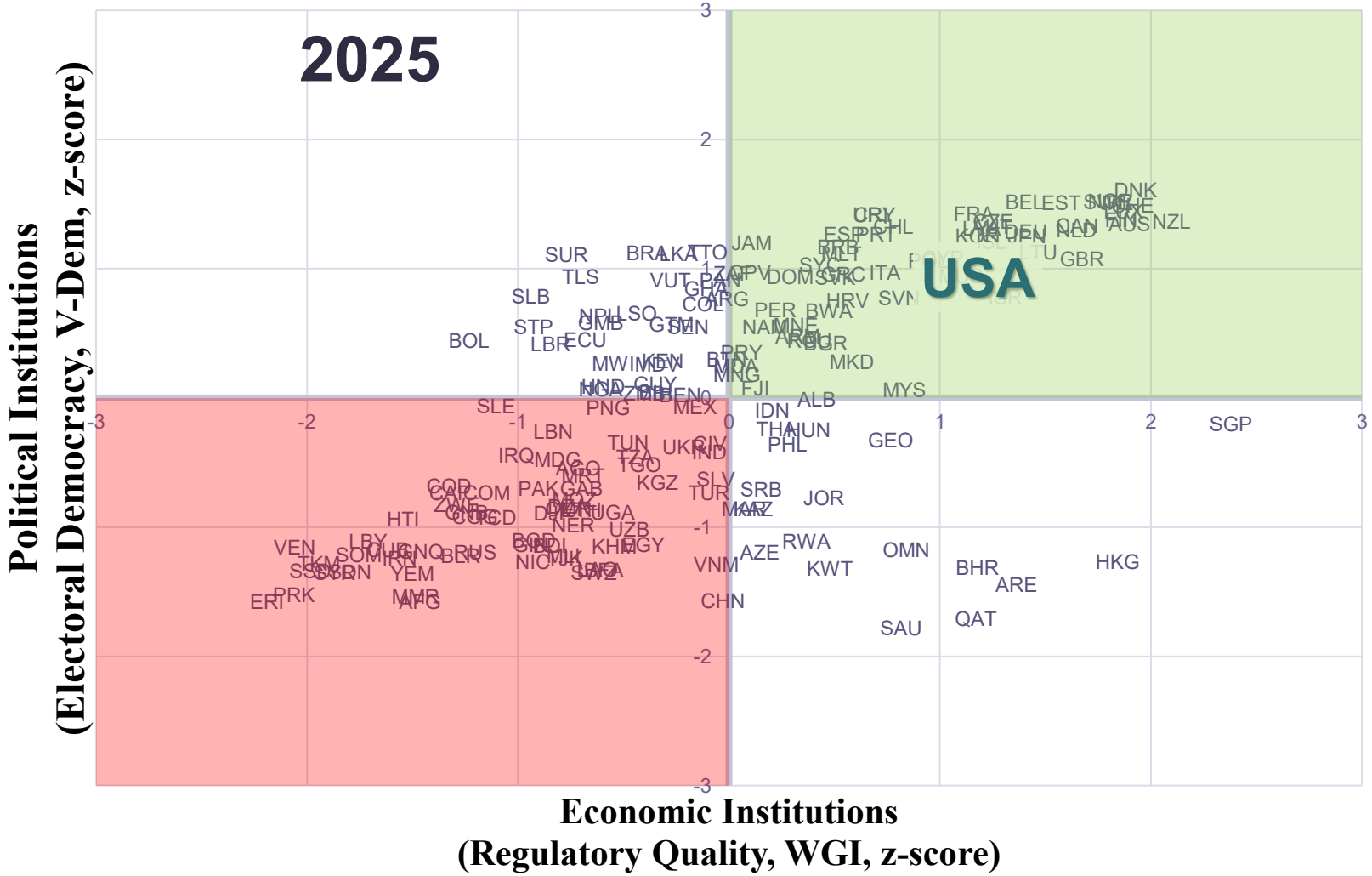
Intertemporal comparison

- Country movements in the chart.

CIA Framework Portal



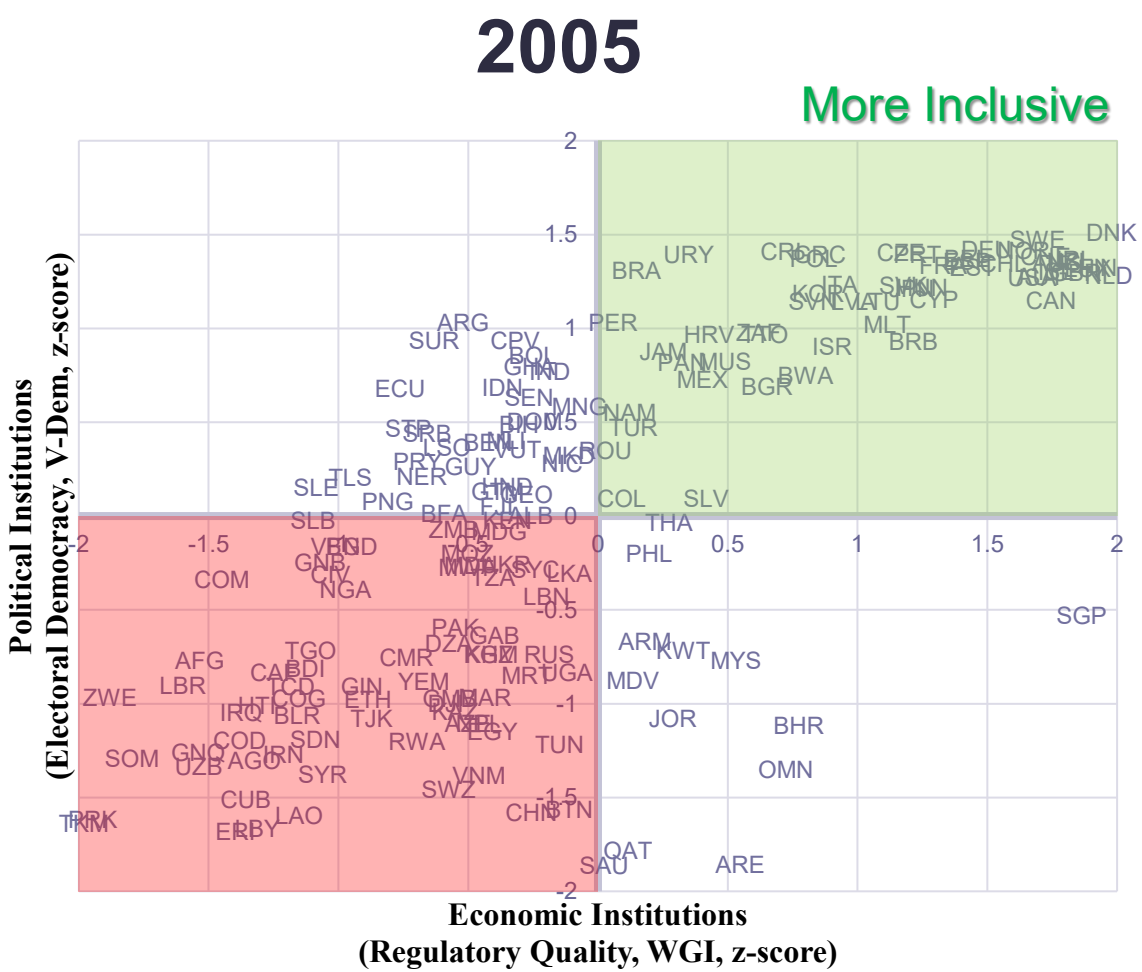
More Inclusive



More Extractive

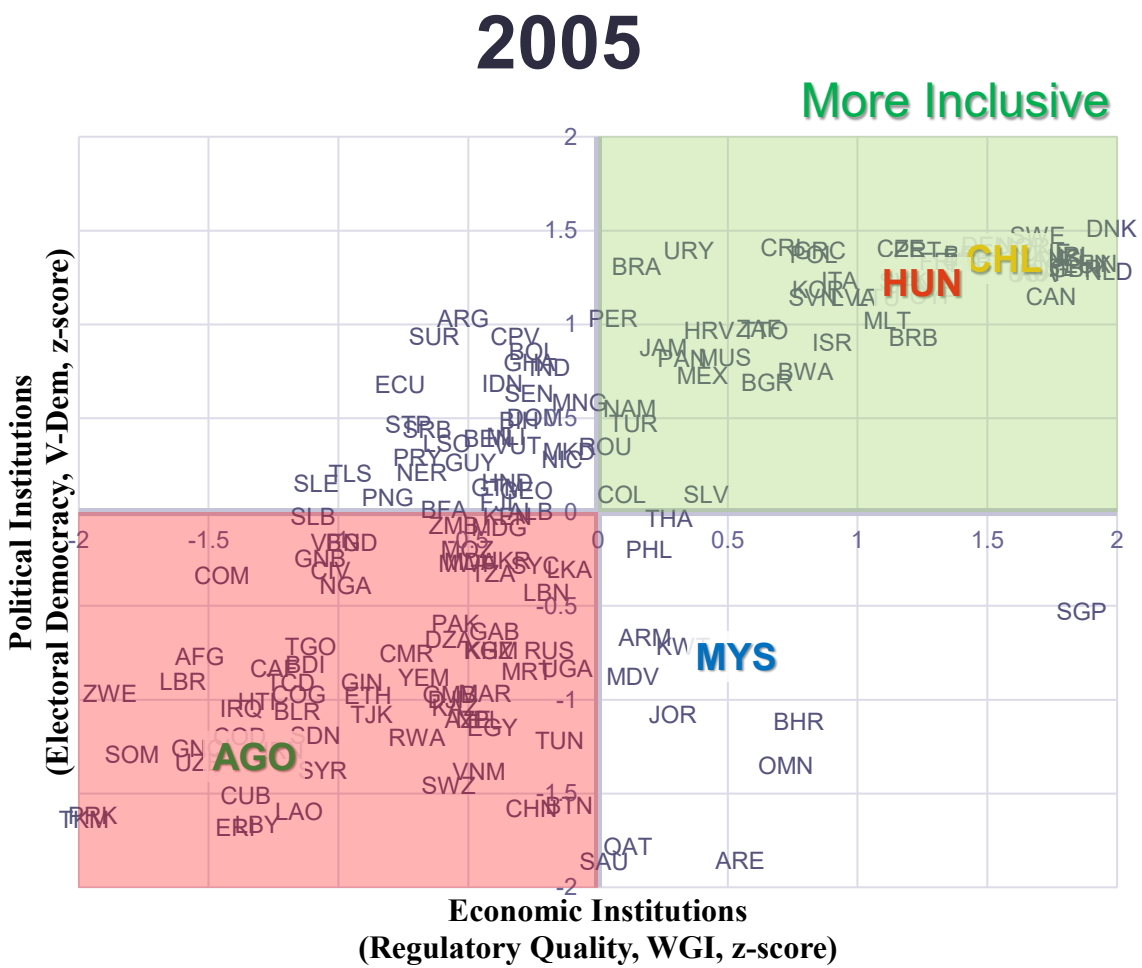
Source: World Bank WGI (Kaufmann & Kraay, 2024); V-Dem (Coppedge et al., 2026); Pongeluppe (2026), CIA Framework.

Comparative Institutional Analysis (CIA) Framework



Source: World Bank WGI (Kaufmann & Kraay, 2024); V-Dem (Coppedge et al., 2026); Pongeluppe (2026), CIA Framework.

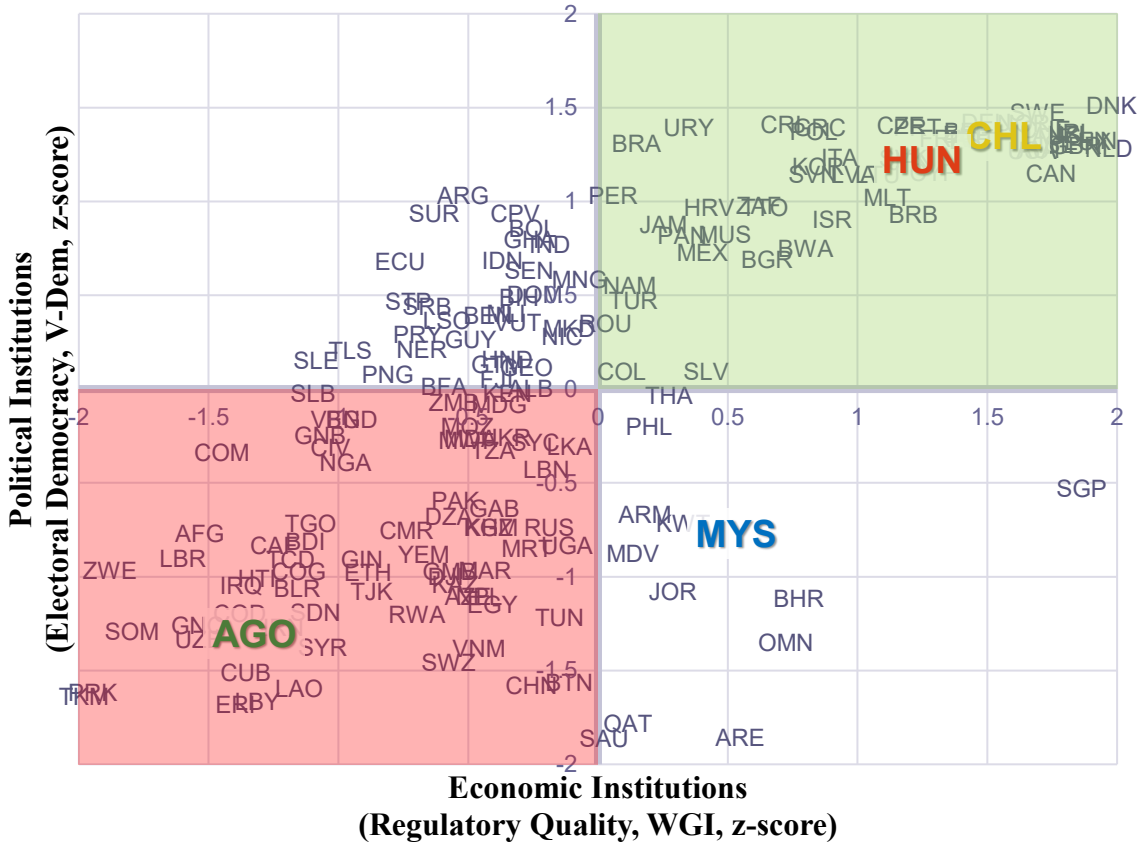
Comparative Institutional Analysis (CIA) Framework



Source: World Bank WGI (Kaufmann & Kraay, 2024); V-Dem (Coppedge et al., 2026); Pongeluppe (2026), CIA Framework.

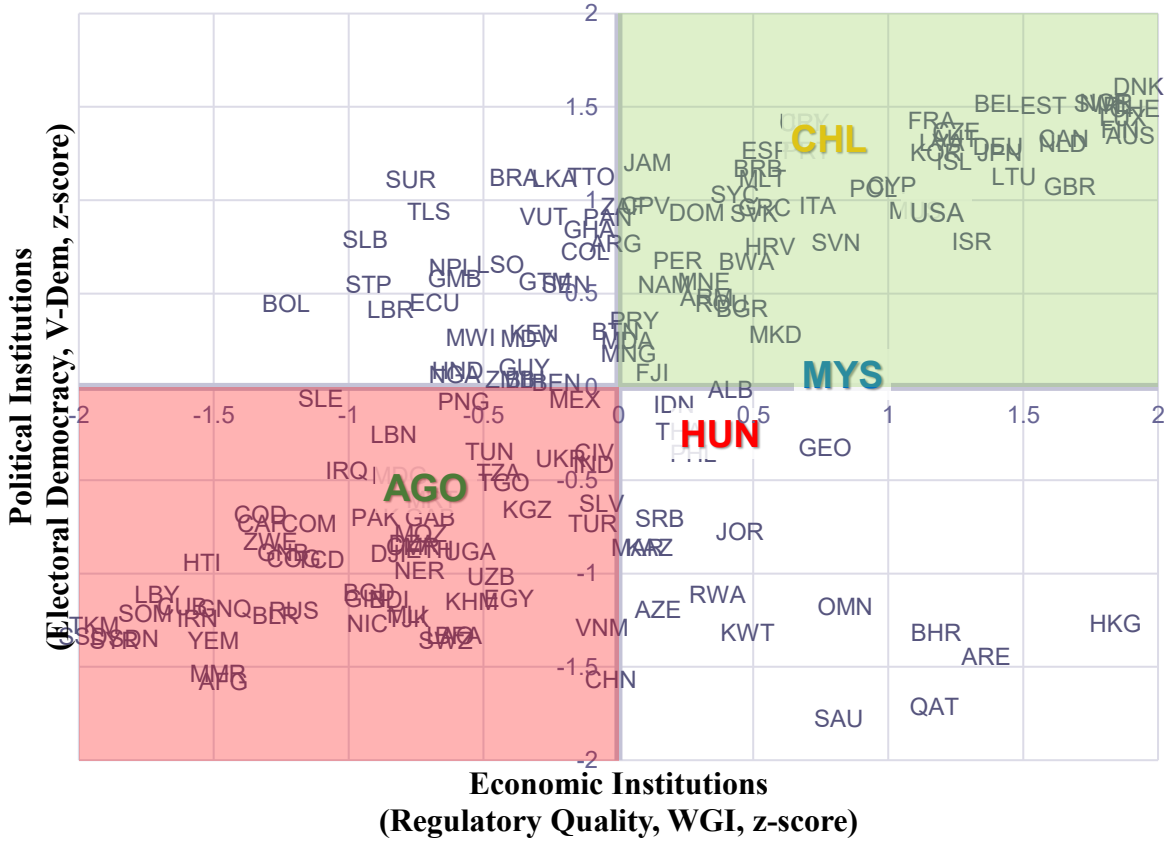
Comparative Institutional Analysis (CIA) Framework

2005



More Extractive

2025



More Extractive

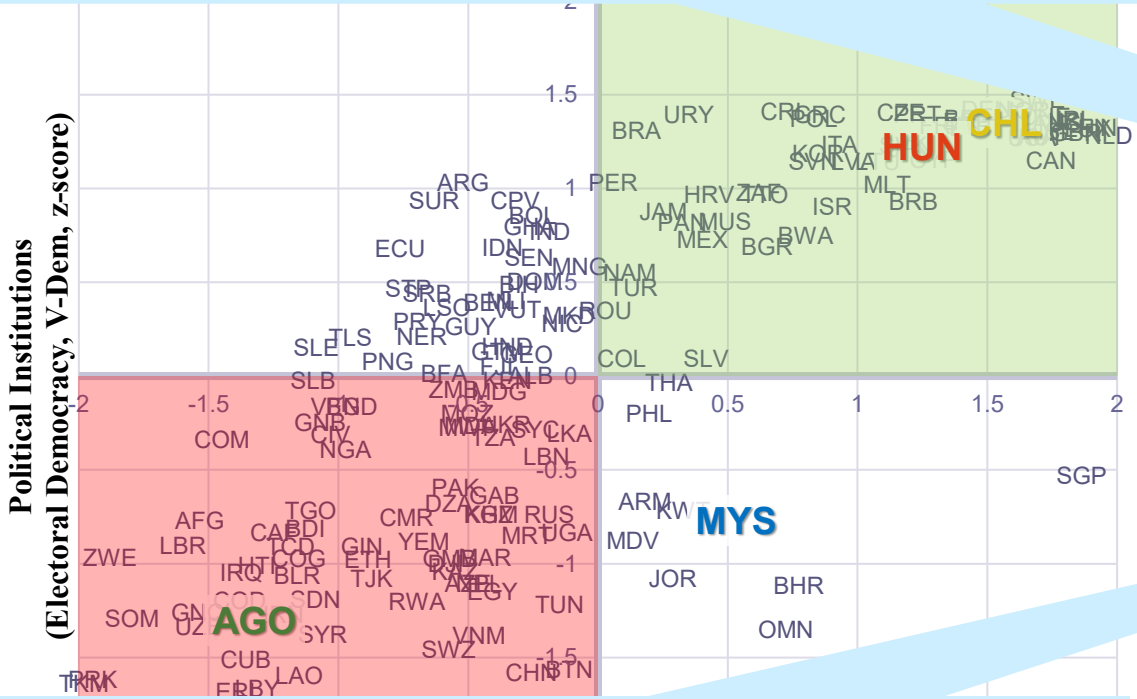
Source: World Bank WGI (Kaufmann & Kraay, 2024); V-Dem (Coppedge et al., 2026); Pongeluppe (2026), CIA Framework.

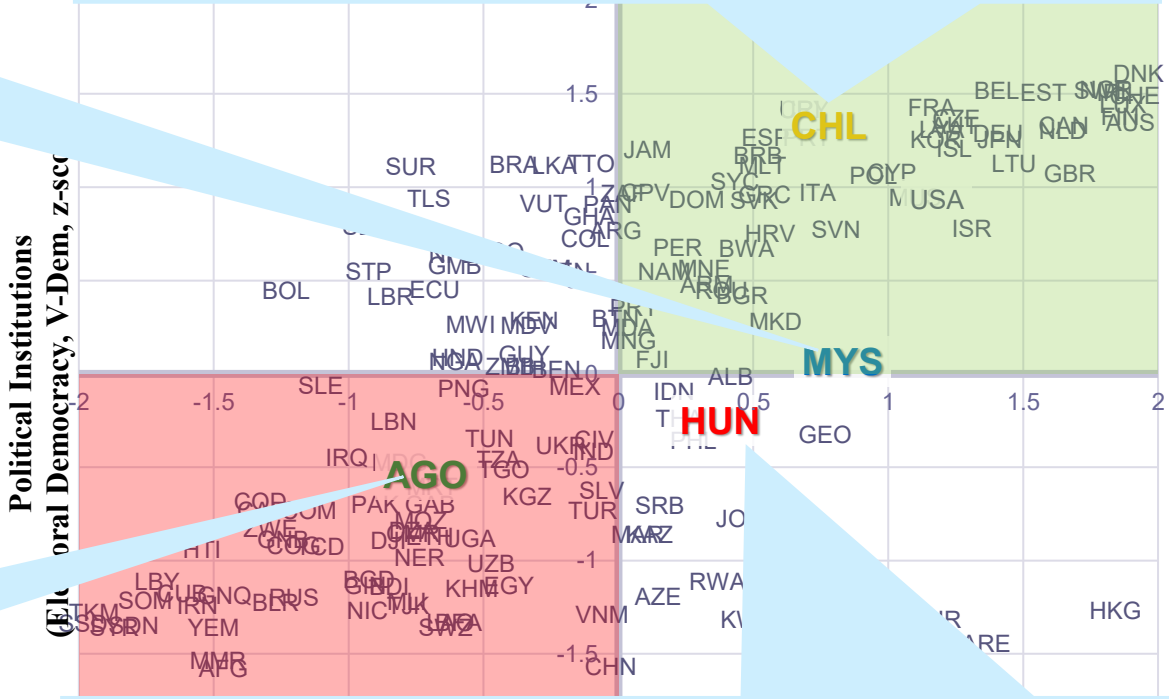
A new era for Malaysia after voters end six-decade reign of ruling party

"This is the first time the country has witnessed a change of government since independence from the British in 1957." – Global Voices, May 12th, 2018

Head of BHP's Escondida mine says Chile must do more to spur investment

"Miners have complained about the country's regulatory process and delays. (…) 'It's a regulatory issue that I'm sure we can improve to unlock investment.'" – Reuters, via Kitco, May 22nd, 2025





Angola: Growing Beyond Oil

"Now, with a relatively new government and a reform mission underway, the country has a vision to transform its economy by attracting private investment (…). If it does it right, Angola has the potential to be an investment and trading hub." – IFC (World Bank Group), Jan 14th, 2020

Hungary loses right to EU aid worth more than €1 billion

"Hungary has lost its entitlement to significant EU aid due to rule of law breaches, as reforms were due by the end of 2025. (…) including changing laws to prevent conflicts of interest and combat corruption." – dpa, via European Newsroom, Jan 2nd, 2026

Comparative Institutional Analysis (CIA) Framework

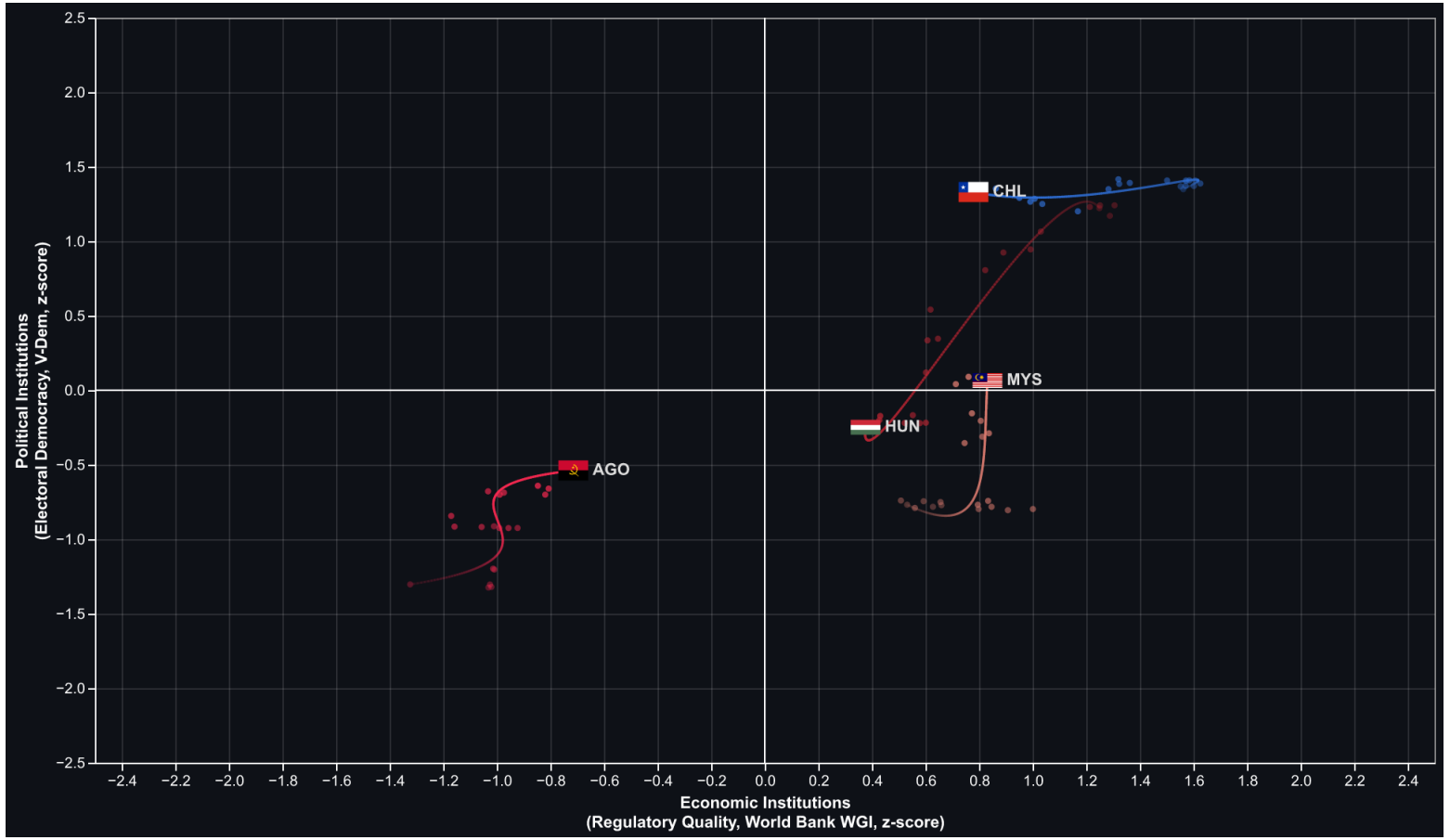
Cross-country comparison

- Relative position of countries in institutional dimensions.

Intertemporal comparison

- Country movements in the chart.

Triangulate Results with Qualitative Evidence



CIA Framework
Webpage Link
Framework Note (2026)

Source: CIA Framework portal (ciaframework.streamlit.app), 2005 to 2025; World Bank WGI (Kaufmann & Kraay, 2024); V-Dem (Coppedge et al., 2026); Pongeluppe (2026).

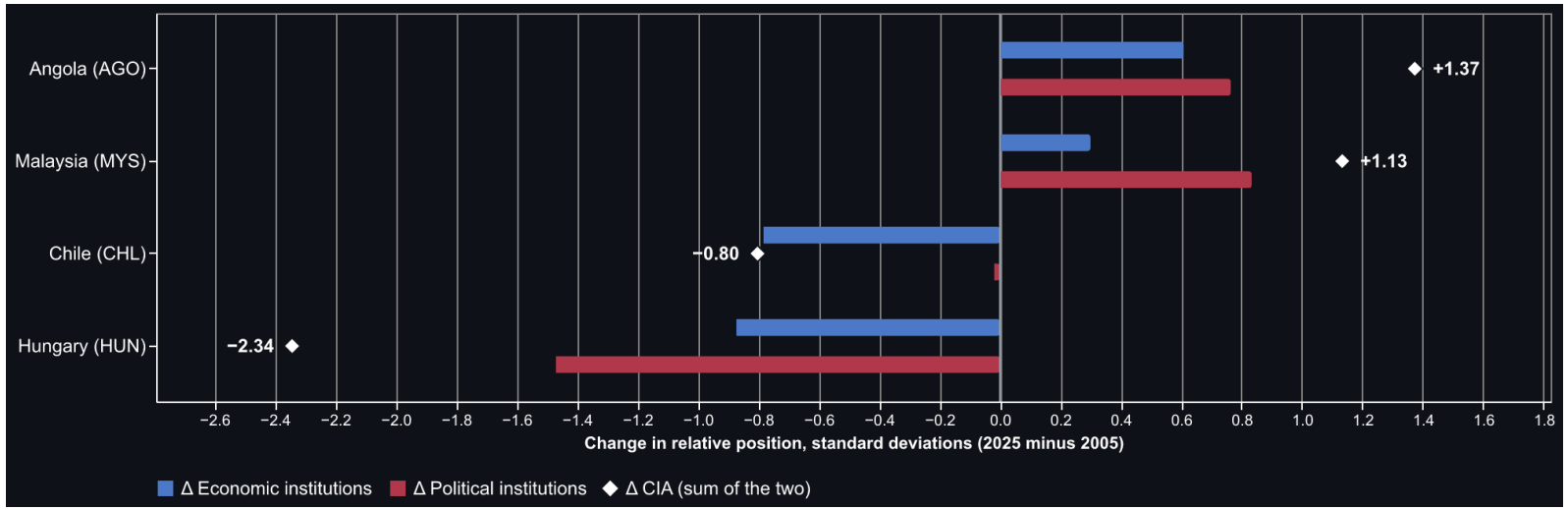
CIA Portal: Score

Decompose the change

- Blue: change in economic institutions
- Red: change in political institutions
- Diamond: change in the CIA score, the sum

Ask

- Did the move come from markets or from politics?



CIA Framework

Webpage Link

Framework Note (2026)

Source: CIA Framework portal (ciaframework.streamlit.app), 2005 to 2025; World Bank WGI (Kaufmann & Kraay, 2024); V-Dem (Coppedge et al., 2026); Pongeluppe (2026).

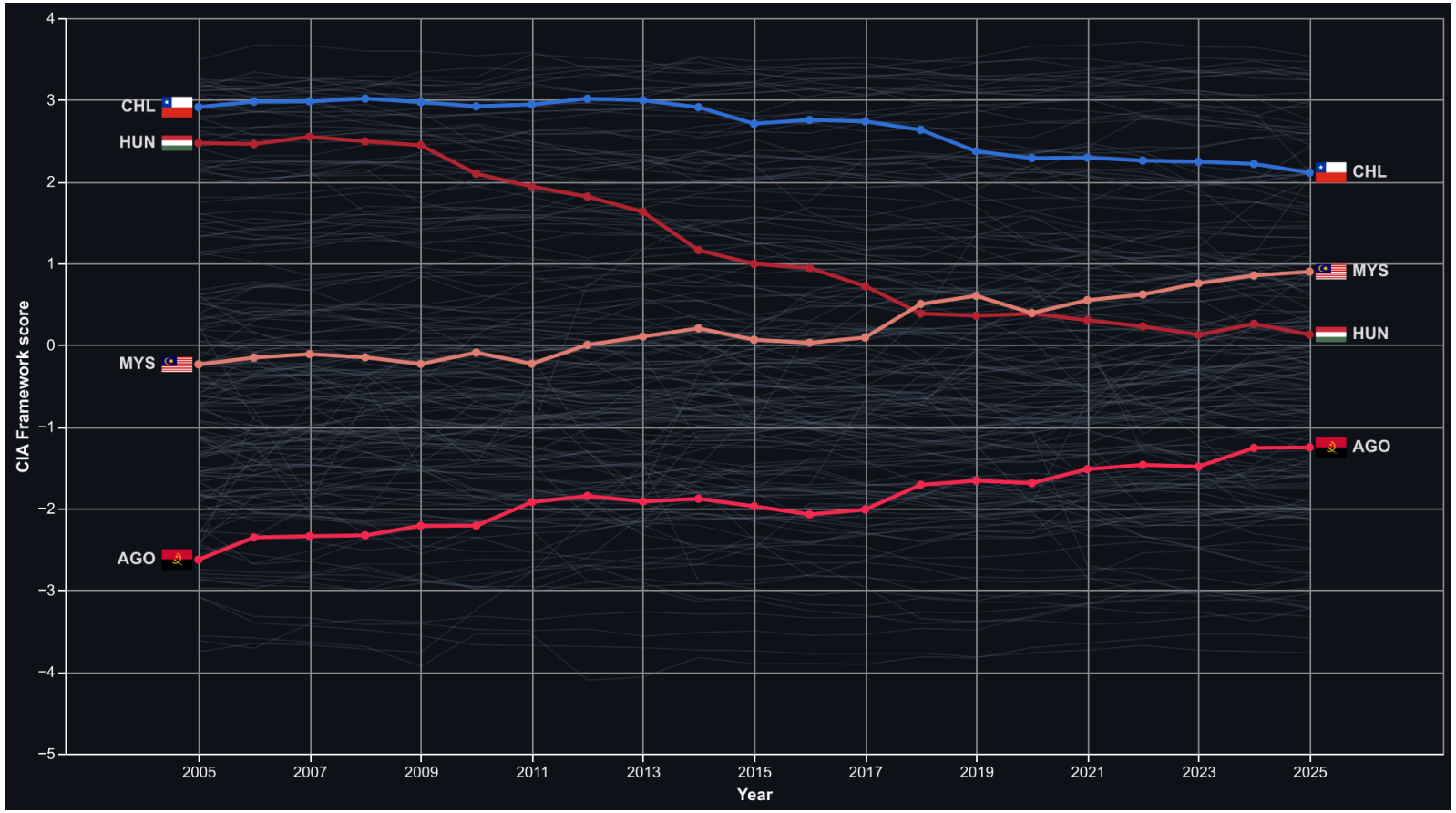
CIA Portal: Trends

The CIA score over time

- Selected countries in color, all others in grey
- Shows when a change happened

Ask

- Gradual drift or sudden break? What happened that year?



CIA Framework
Webpage Link
Framework Note (2026)

Source: CIA Framework portal (ciaframework.streamlit.app), 2005 to 2025; World Bank WGI (Kaufmann & Kraay, 2024); V-Dem (Coppedge et al., 2026); Pongeluppe (2026).

CIA Portal: World Map

Change for every country

- Blue: higher relative position in 2025 than in 2005
- Red: lower relative position
- Selected countries are outlined

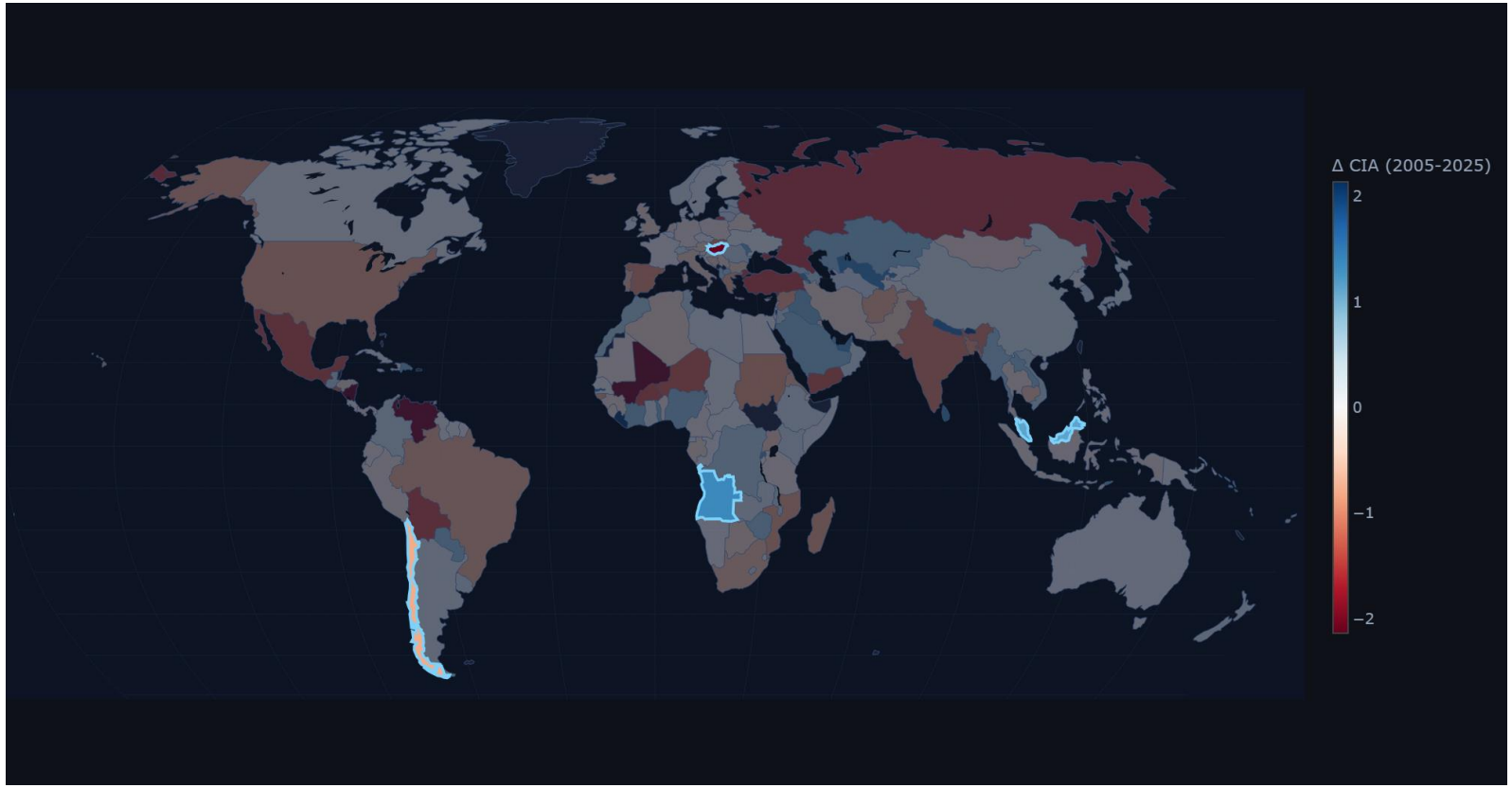
Ask

- Is the change regional or country-specific?

CIA Framework

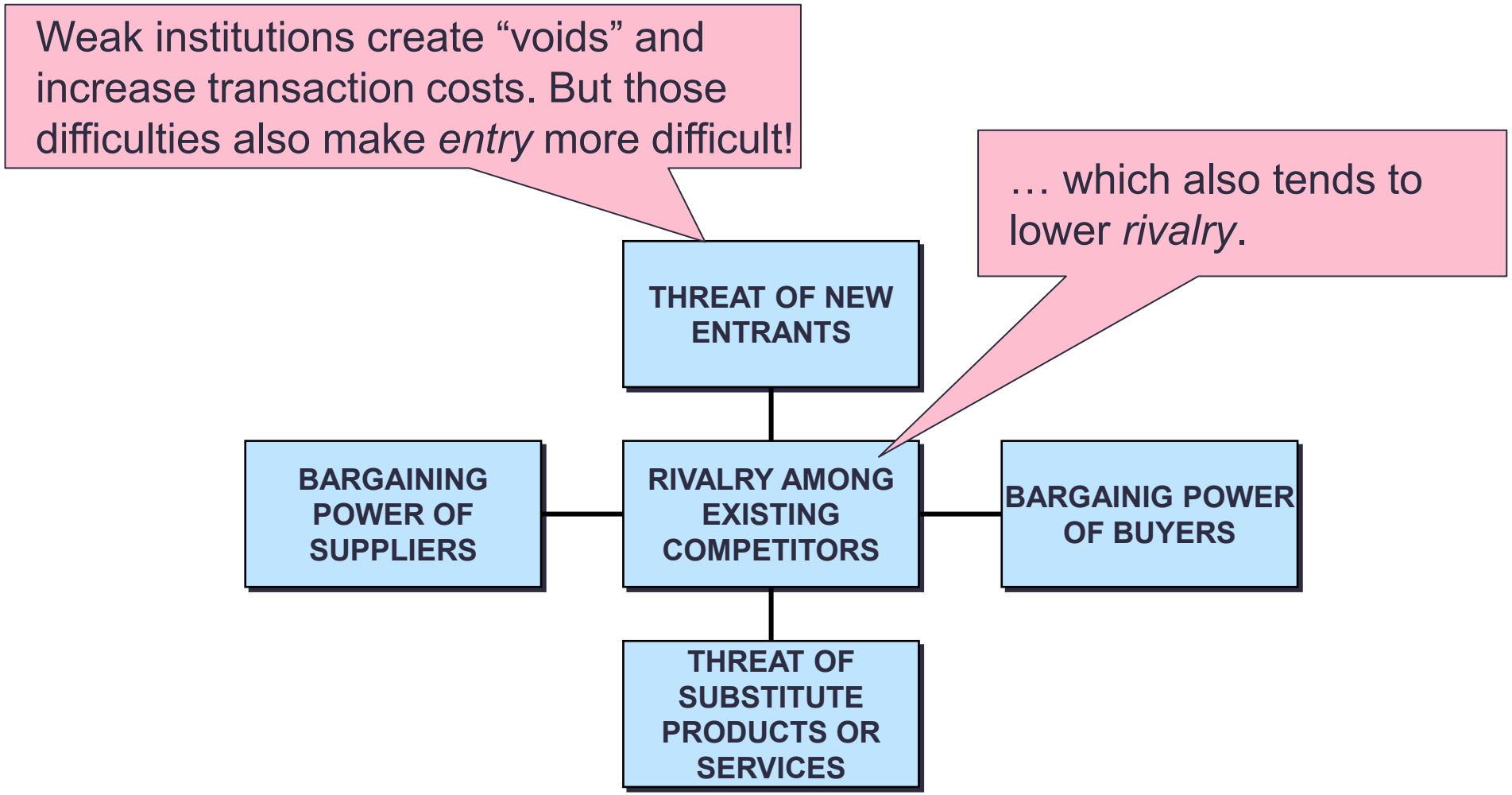
Webpage Link

Framework Note (2026)



Source: CIA Framework portal (ciaframework.streamlit.app), 2005 to 2025; World Bank WGI (Kaufmann & Kraay, 2024); V-Dem (Coppedge et al., 2026); Pongeluppe (2026).

Where Is It Easier to Make Money? Under Stronger or Weaker Institutions?



The Economic Effects of Mafia: Firm-Level Evidence

Research Question: What happens to legitimate firms when criminal organizations infiltrate them?

Method: Matched investigative records documenting Mafia activity with firm-level panel data (governance + balance sheets). Focused on firms in regions without established Mafia presence (allows causal identification).

Key Findings:

- **Who is targeted?** Young and less efficient firms. Easier to infiltrate and exploit.
- **Short-run effect:** Significant rise in firm revenues with no proportionate growth in production inputs (labor, capital).
- **Long-run effect:** Deterioration of financial health leading to market exit (firm death).

Revenue growth without input growth = money laundering or rent extraction, not genuine business improvement!

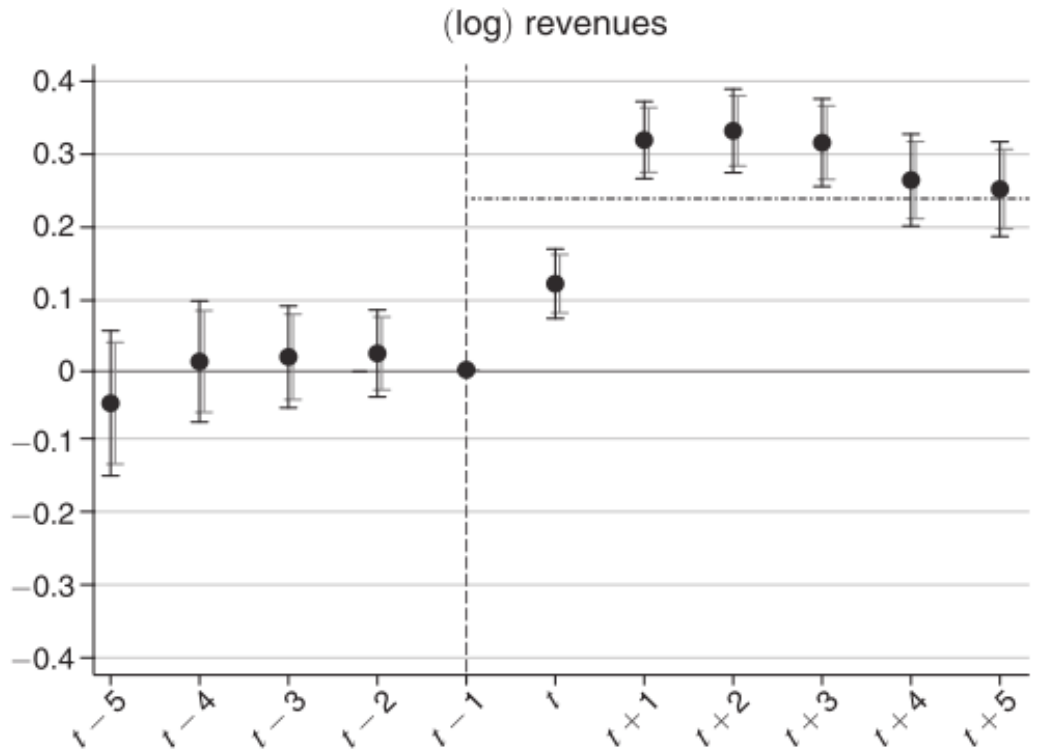


FIGURE 3. EFFECTS OF MAFIA INFILTRATION ON FIRM'S PERFORMANCE

Source: Mirenda, Mocetti, and Rizzica (2022). American Economic Review, page 2760. Also available at link.

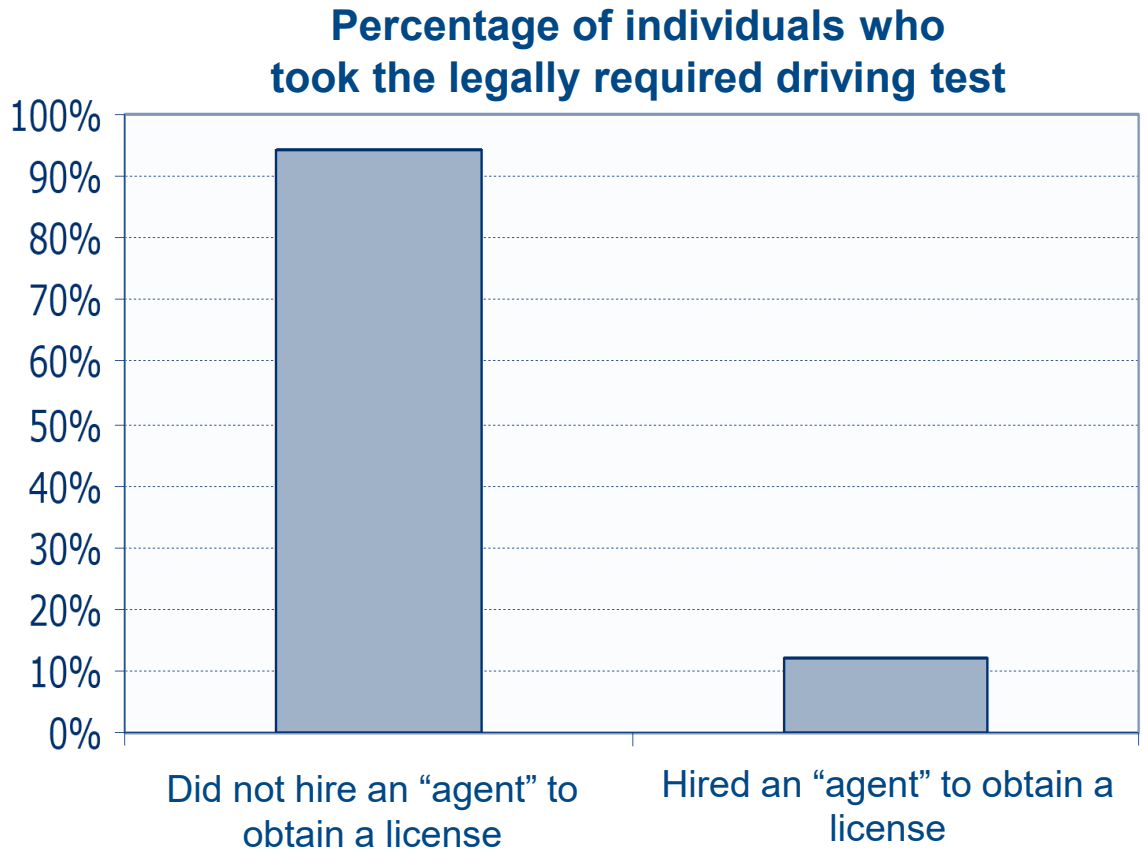
Figure note: Each dot is the point estimate of the treatment effect in different years before and after the treatment (leads and lags); vertical bands are the corresponding 90 percent and 95 percent confidence intervals. The reference category is t − 1 . The specification includes firm, province-year, and sector-year fixed effects. The horizontal dashed line represents the corresponding DID estimate.

Negative Externalities from Corruption: Riskier Roads

Some propose it allows firms to get things done (i.e., “oil in the wheels of commerce”).

On the other hand:

- Unfair competition
- Entry barriers for those who lack sufficient resources to pay bribes.
- Bribes also act as some form of “tax.”
- Market distortions and deadweight loss.
- Bad decisions from a societal point of view (“negative externalities”).



Obtaining a driver’s license in India:

Source: Bertrand, Sjankov, Hanna and Mullainathan (QJE, 2007, p. 1662).

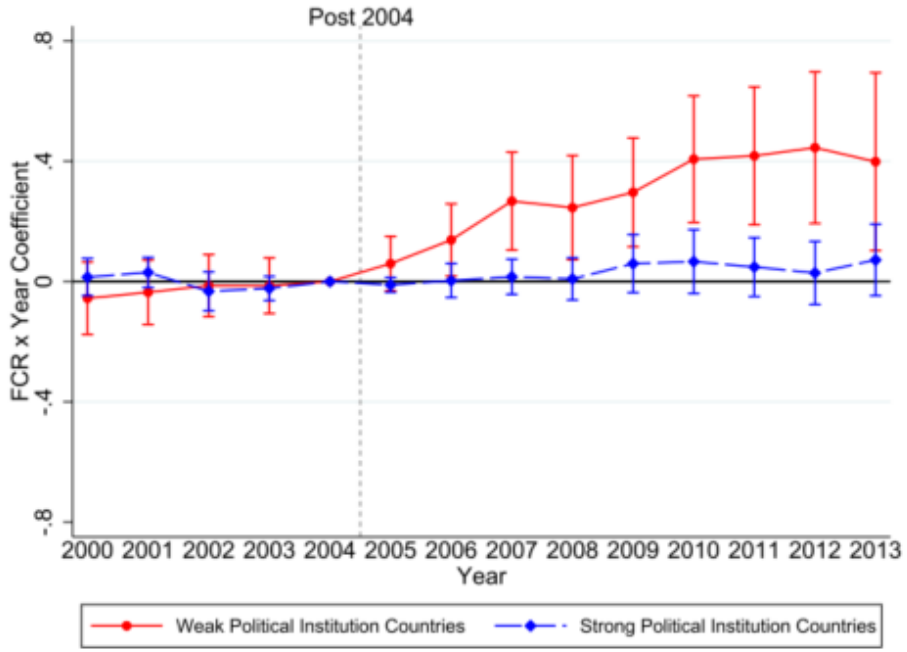
Note that percentages were based on surveys with two different populations, that is why the percentages are not adding up to 100. For more information, please, check Table V, row “Took RTO licensing exam” on page 1662.

Regulation Against Corruption Foster Local Development

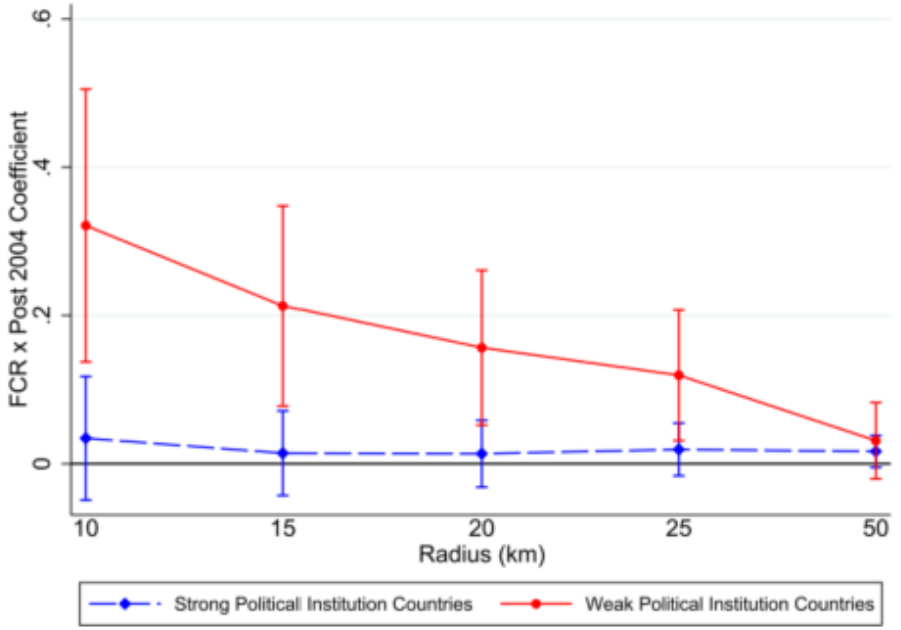
- Foreign corruption regulation against MNCs, the US Foreign Corrupt Practices Act (FCPA), has increased enforcement since 2004 → and has helped African communities foster economic development (measured by luminosity) near extraction sites.

- A larger share of the resource rents is invested in local communities rather than being siphoned off through bribery.

Panel A: Luminosity Effect only in Countries with Weak Political Institutions



Panel B: Spatial Diffusion only in Countries with Weak Political Institutions



Source: Christensen, Maffett, and Rauter (2022). Also available at link.

Corruption in International Business

Caselets of Corruption adapted from
Kennedy, R. E. & DiTella, Rafael. (2001). Corruption in International Business (A)

Caselet 01

-- Control Risks, a London business risk consultant, reports that each McDonald's 38 outlets in Syldávia City was subject to 31 miscellaneous “fees” for purposes as unlikely as river dragging, flower displays on public holidays, and the president’s spiritual well-being program. The Syldávia City Council had not passed legislation specifically about authorizing the fees, but the city bureaucrats appeared to be within their discretion to impose the fees.

Should McDonald's agree to pay the fees?

Caselet 02

-- Enterprise Investors, a newly established venture capital firm that plans to invest in Bordúria is in the process of establishing its Bordúria City office. If telephones were to be obtained through official channels the wait would be approximately 5 years. If the firm is willing to pay a “hookup fee” of $1,000 per line, it can obtain service in only a week.

Should enterprise investors pay for the quick installation?

Caselet 03

-- In the mid-1960s Gulf Oil Corporation undertook a US $200 million direct investment program in the Republic of Khemed. When the program was nearly completed the ruling political party approached Gulf for a US $1 million contribution to finance its electoral campaign. The request was accompanied by pressure which left little to imagination. The contribution was made, and the incumbent party won the reelection.

When the ruling party geared up for the next general election in 1970, a leader of the incumbent party approached Gulf for another campaign contribution. The party representatives suggested that US $10 million would be an appropriate contribution.

Should Gulf Oil make the contribution?

Caselet 04

-- Saybolt International was a Netherlands based firm in the petroleum and gasoline testing industry the firm was the leader in the critical San Theodoro market where it confirmed purity and octane levels as ships passed through the San Theodoro's Canal.

David Mead, an American citizen was Saybolt director of Western Hemisphere operation. In January 1995, San Theodoro's government offered the firm a new laboratory space with a 10-year lease in a newly established free trade zone. But the offer came with a condition a US $50,000 fee for the lease. If the firm pays it is theirs, if not they get nothing.

Mead consulted a lawyer who advised him not to pay. But Mead realized that if the San Theodoro's operation were to be shut down, he might lose his job. The former Saybolt's President, who was based in Netherlands, suggested that the Dutch parent wire the money directly to San Theodoro, thereby avoiding any U.S. connection.

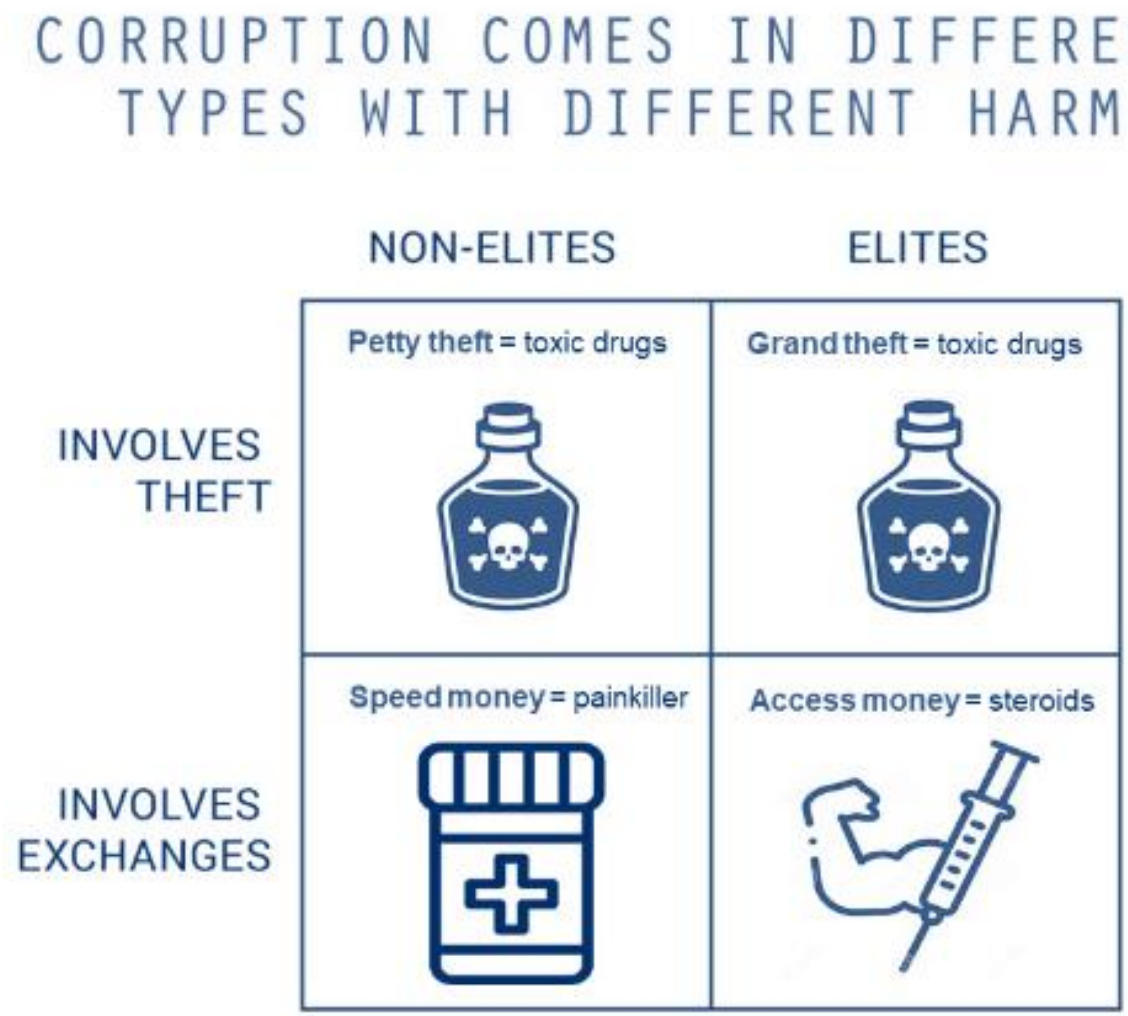
Should Saybolt pay the "finder's fee"?



Firms may get “advantages” via corruption, for example:

- Campaign donations to win public contracts
- Obtaining a local operation license
- Extortion from a street bureaucrat to avoid a fine
- Embezzlement

Freakonomics Radio. Episode 481: “Is the U.S. Really Less Corrupt than China–and How About Russia?” **From 15’20” to 16’51”**



Source: Yuen Yuen Ang webpage.

Corruption Is Everywhere, But Not All Corruptive Forms Are Equal

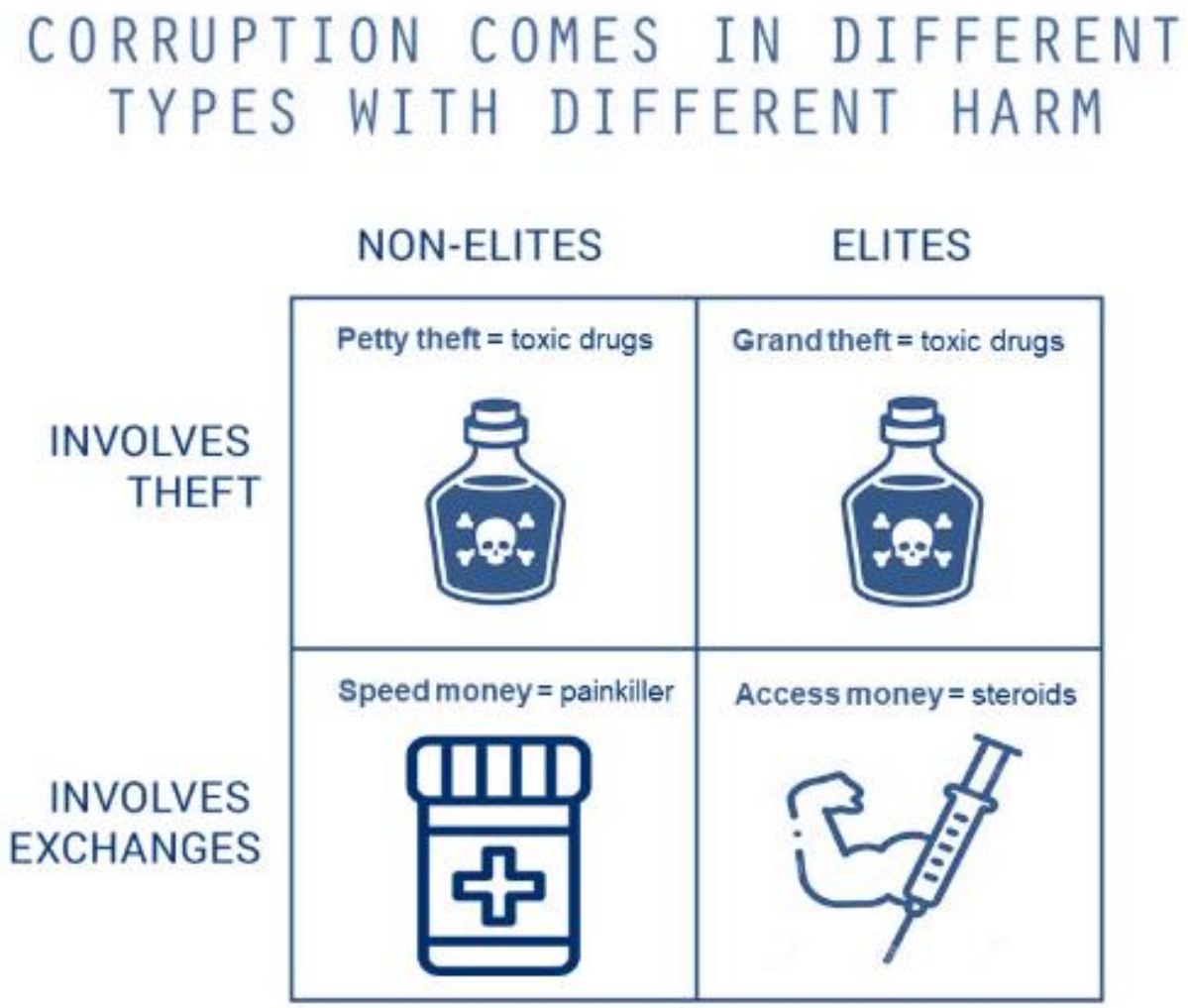
Elites vs. Non-elites

Theft vs. Exchange

Firms may get “advantages” via corruption, for example:

- Campaign donations to win public contracts → Access money
- Obtaining a local operation license → Speed money
- Extortion from a street bureaucrat to avoid a fine → Petty theft
- Embezzlement → Grand theft

Freakonomics Radio. Episode 481: “Is the U.S. Really Less Corrupt than China–and How About Russia?” **From 15’20” to 16’51”**



Source: Yuen Yuen Ang webpage.

Flashcards

Transparency International CPI 2025: Global Average Drops for First Time in a Decade

The global Corruption Perception Index (CPI) average fell to 42/100, the first decline in over a decade. Countries scoring above 80 shrank from 12 to just 5. Even established democracies declined: the United States (64), Canada (75), and New Zealand (81), as did various parts of Europe, like the United Kingdom (70), France (66), and Sweden (80)

Source: Transparency International (February 2026)

Question: "If you're advising an MNC, how much weight should you place on CPI? What are its blind spots?"

ANALYSIS

North, Institutional Degradation: Institutional quality is not guaranteed to improve monotonically. The CPI decline shows even "inclusive" countries can regress.

CIA Challenge: If all countries decline, relative CIA comparison may mask absolute deterioration. The framework works for comparison, not absolute measurement.

Ang's Typology, CPI Blind Spot: CPI measures *perception*, not actual corruption, and conflates all types of corruptive practices.

Key Takeaways

- Should we go abroad? What are some of the uncertainty/risks of going abroad? **CIA (Comparative Institutional Analysis) Framework.**
  - Institutions are the “rules of the game,” and they affect economic performance
    - They can be both formal and informal
    - They can be formed top-down or bottom-up
    - They can be extractive or inclusive
  - Comparative Institutional Analysis (CIA) should be performed
    - Cross-country and intertemporally (WGI + V-Dem), validated with qualitative evidence.
- Corruption
  - Different types of corruption with different effects on firms and countries

Next Class

- Where should we go? **CAGE Framework.**
    - *Navigating distances in global markets*

Looking Ahead: Distances

- Quiz opens at **5PM today** and closes in **72 hours**
  - **15 minutes to answer 3 questions** (open book)
  - Once you start the quiz, you can't stop or start over
- **Next Class:**
  - Pankaj Ghemawat (2001) "Distance Still Matters: The Hard Reality of Global Expansion," Harvard Business Review 79(8): 137-147
  - European Super League: "Why the European Super League failed," The Economist, April 24, 2021.
  - Video (watch before class) Deutsche Welle TV on: "Why US sports are more socialist than European football." (DW Channel on Youtube). Click here to watch
  - Optional movie: "American Factory" (2019, Netflix). Click here to check.

    QUESTIONS

    - *Why is CPA (Country Portfolio Analysis) a bad way to evaluate where a business should internationalize?*
    - *What are the key features of the CAGE framework?*
    - *Using the CAGE framework, explain why the European Super League failed.*

Thank you.

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